ASSIGNMENT SET – 1

Q1.

Definition of Bailment

Bailment refers to the contractual arrangement whereby one party (the bailee) holds the possession temporarily of something that belongs to another party (the bailor). It is important to know that there is no transfer of ownership; only possession is transferred in such situations. If you entrust your watch to the jeweller to be repaired, it means that there is bailment.

Circumstances Under Which Bailment May Be Terminated

- **Purpose completion:** Should the purpose of the bailment become accomplished, the bailment comes to an end automatically. This means that if you bailed the clothes to the cleaner for purposes of cleaning, the bailment will automatically come to an end once the clothes are cleaned.
- **End of agreed upon period:** Should there exist an agreement between you and the bailee concerning bailment for a specific period of time, such as keeping your furniture in store for six months, the bailment will cease after such a period.
- **Mutual agreement:** Both of you may come to an agreement to cancel bailment at any given time.
- **Destroyed bailed property:** If by accident the bailed property is destroyed in a manner not attributable to any fault of the bailee, bailment will be brought to an end.
- **Death of either party:** Once either of the two parties dies, bailment becomes null and void.
- **Breaches of bailment agreement by the bailee:** You have the power to put an end to bailment whenever the bailee violates the bailment agreement.
- **Surrender and rejection of bailment:** Either of the two parties can surrender or reject the bailment agreement.

Legal Ramifications of Termination

Upon the termination of the bailment, several legal ramifications come into effect. First, the bailee must return the items to the bailor without altering the condition of the goods. However, if there has been any damage other than that of ordinary wear and tear, the bailee can be sued for any damage caused. Second, the obligation of taking care of the goods ceases because the bailee is no longer liable once the goods have been returned.

Where the bailee fails to return the items to the bailor, the latter has a right to sue for the return of the goods. Additionally, where the goods are destroyed negligently by the bailee in the breach of bailment, the bailor can ask for damages. Lastly, where the termination is based on the breach of bailment by the bailee, he or she shall not receive payment for his or her work as in the jeweler's example above.

Conclusion:

The termination of bailment is significant since it is an indication that the responsibility of one person ends regarding another person’s goods. The law requires that the goods be returned in appropriate conditions. In the event of neglect or abuse, there are penalties involved. Knowing about termination is essential in protecting both the giver and receiver of the bailment.

Q2.

Dissolution of Firm and Partnership: Definitions and Differences

Actually, there are two meanings of the word "dissolution" when it comes to partnership laws. The first meaning refers to the break-up of the relations between the group of partners, but at that the business continues functioning as usual with the help of the rest of the partners. The second meaning refers to the dissolution of the firm, which means that the business is closed.

It can be easily understood from the above explanation that there is only a slight difference between the mentioned terms. While the dissolution of the partnership occurs when one out of three partners leaves, the firm is dissolved when all partners withdraw from their business activity.

Dissolution of Partnership

- Mutually decided: Partnerships can be dissolved mutually when all the partners agree during its operations to do so.
- Due to expiry of time: When there is a certain time limit assigned for a partnership, like five years, the expiry of the said time limit causes dissolution of the partnership.
- Notified dissolution: Any partner of the business may inform about the dissolution of the partnership through notification.
- Partnership dissolution due to death: If there is death of any partner, it causes automatic dissolution of the partnership unless otherwise mutually agreed upon.
- Dissolution due to bankruptcy: Any partner becoming insolvent causes dissolution of the partnership.

When Dissolution of Firm Occurs

- **Concurrence of all partners:** In case of concurrence of all partners in the decision to disband the entire business firm, dissolution takes place.
- **Breach of contract:** In case any partner breaches the contract, the other parties may file a lawsuit for dissolution.
- **Illegality of purpose:** Where the business venture has become illegal, dissolution will be ordered by the court.
- **Business becomes impractical:** In case it becomes impossible to continue doing business, such as where the business premise has been burnt and cannot be reconstructed, then the business will automatically dissolve.
- **Unacceptable behaviour:** When the behaviour of any one of the partners becomes unacceptable and prevents continued business operations, then there will be dissolution of the business.
- **Dissolution by court order:** The court may order for dissolution of the business due to conflicts amongst the parties.

The Legal Process After Dissolution

In the case of dissolution, the next step will be to wind up the business. Wind up refers to the process whereby all outstanding monies due to the business are settled, all debts are paid and any surplus is distributed among the partners. The debts will be settled in a particular order starting with secured creditors, unsecured creditors such as suppliers, followed by loan advances due to partners and finally capital contributed by partners.

Conclusion:

It is important to understand the difference between the dissolution of partnership and firm since there are different parties involved and how assets and responsibilities are shared. Some dissolutions are successful while others lead to disputes that may end up in court but the law guarantees the protection of creditors in both cases.

Q3.

What is an Unpaid Seller?

An unpaid seller is defined as an individual who has sold goods, yet not received total payment for such goods. The unpaid seller has delivered the goods but is still holding the money. According to the law, this is considered to be unfair, whereby you lose possession of the goods and do not have any money either.

Rights of an Unpaid Seller Against the Buyer Personally

- **Right to sue for price:** This one is simple. If the buyer is indebted to the seller, then he may initiate a legal action against him, seeking the total price paid by the seller. In such cases, besides the total amount, the seller also claims interests and costs.
- **Right to sue for damages:** Not only the seller is entitled to claim the price; however, he may ask for any additional compensation or even sue the buyer for the breach of contract. It means that, when the buyer fails to pay on the agreed terms, the seller can ask for damages.
- **Right to rescind the contract:** Under particular conditions, the seller can decide to rescind the contract between him and his client. Thus, in case of any breach of contract or fraudulent acts made by the buyer, the seller can cancel the transaction.
- **Right to stop and reclaim the goods in transit:** When the seller ships the goods and they have not yet been received by the buyer because of his insolvency, then he may try to reclaim the goods in transit.

How the Seller Can Enforce These Rights

- **The right to sue for the price:** This particular remedy is very straightforward. In case the buyer owes something to the seller, he can institute a suit against the seller claiming the total price that the seller has charged. In such cases, apart from the total amount, interest and other costs also become an issue.
- **The right to sue for damages:** It is not only the seller who has the right to claim the price, but he can also demand compensation. This means that in the case where the buyer breaches the agreement, the seller can sue him for the loss suffered by him.
- **The right to terminate the agreement:** Depending on certain circumstances, it becomes possible for the seller to terminate the deal. In case there has been a breach of agreement by the buyer or any act of fraud committed, the seller can cancel the deal.
- **The right to detain the goods in transit:** If the seller ships the goods, but the buyer cannot receive them due to his insolvency, the seller can claim for them during their transit.

Limitations and Conditions

These rights have certain restrictions. Firstly, the seller should have actually sold his product and not promised its sale in the future. Secondly, the seller's rights depend on the delivery of the products. Either the goods have to be delivered or they have to be accepted by the buyer. Thirdly, the seller cannot perform any illegal actions while exercising their rights. It means that they have to stay within the limits of the law and cannot forcibly enter the property of the buyer. Lastly, the seller's rights depend on the insolvency of the buyer. In case of the buyer being insolvent, certain seller's rights will disappear as the court decision will hardly help him/her in receiving payments.

Conclusion:

It is important to mention that the legislation tries to protect both buyers' and sellers' rights. Thus, when a seller is at risk and loses control over its goods without receiving any payment, it has the right to go to court and claim back its property and receive compensation for its losses.

ASSIGNMENT SET – 2

Q4.

Patent Defined

Patents can be defined as grants made by the government to an individual whereby he/she gains exclusive rights to his/her discovery or innovation within a certain period of time, which may run up to 20 years. With patents, you can stop others from benefiting or taking advantage of your innovation without your permission for the next 20 years, since after this period your discovery becomes public property. Patents are issued to inventors as a way of protecting their innovations.

What Can Be Patented?

Not all things are eligible for patents. Generally, one can obtain a patent for:

- **New invention or improvement:** This involves creating something new or making an improvement on an existing item.
- **Process or method:** Involves discovering a new process or method as opposed to a new invention.
- **Machines or devices:** Any new mechanical or technological device.

Things which cannot be patented include:

- **Principles of science:** Principles of mathematics, laws of nature and ideas.
- **Previous inventions:** Cannot patent an already existing product.
- **Illegal and immoral inventions:** Products designed for illegal operations cannot be patented.
- **Business methods:** Cannot obtain patents solely on business methods.

The Procedure for Obtaining a Patent

- **Step 1 - Submitting the Application:** A detailed description, accompanied by drawings and claims about the uniqueness of the invention is submitted to the patent office. In India, this is done in Indian Patent Office.
- **Step 2 - Preliminary examination:** Your application will be examined at this stage, for completeness and inclusion of all necessary details. Checks on correctness of payment of filing fees will be done too.
- **Step 3 - Publication:** If there is no problem at this stage, your application will get published in the official patent journal. This brings news of the patent claim before the public.
- **Step 4 - Substantive examination:** Following publication, you need to undergo a stringent process involving examination by searching through existing patents. It will be determined whether your invention is really new, involves inventiveness, and is industrially applicable.
- **Step 5 - Office actions and responses:** At this stage, the patent examiner sends out the Office Actions, raising issues and requiring clarifications. The applicant will have to counter the objections raised with suitable arguments and amendments.
- **Step 6 - Grant or rejection:** If all goes well, grant will follow. Otherwise rejection may occur.
- **Step 7 - Grant and publication:** Once approved, the patent is officially granted, and the patent office publishes the final patent specification. You now have exclusive rights.

Patent Maintenance

Obtaining the patent is not the last step. You need to keep the patent by paying regular renewal fees. In India, renewal fees are paid annually once you obtain the patent. Failing to do so will cause your patent to lapse, and others will be able to freely exploit your creation.

Conclusion:

The patent is a legal instrument through which the inventor can secure protection from others. This is a lengthy process, which may require several years before getting approval. The purpose of the entire process is to safeguard actual inventions and avoid frivolous claims. Patents are useful in terms of business as they represent a valuable resource.

Q5.

Defining a Company

A company refers to a legal organization which is created by law under the Companies Act. This differs from an individual and a partnership since in this case, the firm is considered as a legal person. The company can own assets, enter into agreements, sue others and be sued. The most critical point is that the company and its members are treated as two separate legal entities, and if at all the company fails, the members do not lose anything except what they have contributed to the firm.

Important Features of a Company

- Legal entity: The company is a distinct legal entity that means that the company is separate from its members. The assets belong to the company, and not to the investors.
- Liability: The risk will only be incurred on the amount of money invested in the company; hence, in case the company goes bankrupt, there will be no additional liabilities to the investor. This feature benefits the investor in many ways.
- Perpetual existence: After the death of a shareholder or in case he sells his shares, the company still exists and operates as before because business does not depend on the life of its owner.
- Common seal: A seal which is unique to each company is used by the company for the signing of important papers.
- Transfer of shares: In case one wants to transfer his or her shares, he or she is free to do so without closing down the company.
- The property is independent from the stockholders: As assets are independent of stockholders, the latter cannot claim to own the former.
- The democracy in management: Stockholders elect directors for the management through voting process; nevertheless, the greater stockholders have more powers than smaller stockholders.
- The ability to contract: The company can sign contracts, hold patents, and file a lawsuit against someone else.

Companies and their types

Businesses are either private or public corporations. In private corporations, there are restrictions on transfer of shares, and the shares cannot be offered to the general public. In public corporations, shares can be sold by anyone, and the shares can be offered to the general public. Public corporations are larger and well-regulated than private corporations.

Conclusion:

Businesses are the core of today's economies. The idea of limited liability and legal entity of their own has made people invest money in businesses without losing all their possessions in case something goes wrong. This system has led to business growth worldwide. The importance of knowing what a company is, therefore, becomes obvious.

Q6.

Background and Purpose of FEMA

Before 1999, there was the foreign exchange regulation act known as FERA. This act was very stringent as the control over foreign exchange was with the government with an iron hand since the foreign reserve held by the country was small and the government was wary of foreign exchange outflow. However, due to economic liberalization that took place in the nineties, this strictness was seen to be more of a burden and therefore FEMA was passed to replace the old law with a liberal one.

Key Objectives of FEMA

- **Making external business easier and encouraging foreign investments:** It is important to facilitate external transactions and investments by Indian residents or for Indians to conduct business globally. FEMA reduces regulations so that foreign exchange flows can be liberalized for genuine business reasons.
- **Making foreign investments easier:** FEMA seeks to attract FDI and FPI into the Indian economy. With facilitation and ease of entry of the foreign exchange along with easy withdrawal of profits, more foreign investors will be interested in investing in India.
- **Making foreign exchange market development easier:** It is important to create appropriate foreign exchange markets and institutions like banks, foreign exchange dealers and money changers.
- **Maintaining monetary stability:** Along with liberalization, FEMA should ensure stability of Indian Rupees. The government watches foreign exchange markets to prevent any kind of crisis.
- **Preventing the abuse and illegal use of foreign exchange:** FEMA has to ensure there is no misappropriation of funds in the form of terrorism financing, money laundering and other such illegal practices.
- **Capital movement regulations:** FEMA allows the government to regulate capital inflows and outflows from the country. The capital movements can be regulated in times of financial emergencies and crises.
- **Simplify compliance:** FEMA replaced hundreds of rules and notifications with a simpler framework. Instead of asking permission for everything, businesses now have more freedom, but violations are severely punished.

How FEMA Differs from FERA

Under the provisions of FERA, most of the transactions involving foreign exchange required government sanction. It was not possible to have an account in any overseas bank without permission. Residents were prohibited from holding foreign exchange. The import of goods was controlled. However, FEMA relaxed the situation. Residents are now able to maintain foreign exchange up to some extent. Sending money abroad has become simpler. NRI investments are allowed freely now.

Key Provisions

- **Liberated remittance policy:** Indian residents are allowed to remit up to $250,000 annually towards permissible current or capital accounts purposes.
- **Disclosure of foreign assets:** The residents have to disclose their foreign assets according to the taxation rules.
- **Oversized investment abroad:** Indian corporations are allowed to invest overseas within prescribed ceilings without obtaining prior permission.

- **Gain repatriation policy:** Foreign corporations are allowed to repatriate gains earned by them in India.

Conclusion:

FEMA was a significant transformation for India's foreign exchange policy from one that restricted foreign exchange flows to one that facilitates foreign exchange through regulation. The aims of FEMA are a blend of liberalization and stability/ safety. Through its facilitation of international business while providing protection from any abuse, FEMA has enabled India to participate more effectively in the global economy.